HMO and POS Health Plans

Healthcare Finance

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Spring, 2024

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03/03/2024

The health maintenance organization (HMO) and point of service (POS) are two health plans that are famous in the healthcare insurance landscape. Each model has its own advantages and disadvantages that affect the insured and healthcare providers. The scope of this research paper is to research on the two insurance models and their advantages and disadvantages while discussing the advantages and disadvantages associated with each model.

The health maintenance organization (HMO) health plan

The health maintenance organization is a system of hospitals, doctors and other healthcare service providers who decide to offer care at a decreased rate. To maintain low costs, HMOs require an individual to choose a primary care physician who can refer them to specialists when need arises (Falkson & Srinivasan, 2023). A health maintenance plan only covers care from healthcare providers in the HMO system, except for emergency care, which might be covered out of the system. Some services such as blood draw, lab testing, and urine tests are limited to one procedure covered by the health maintenance organization system. HMO plans are cheaper than PPO plans since they have lower monthly payment tariffs making them suitable for individuals whose favorite healthcare professionals are in the network, or if the individuals get the majority of their care close to their residential areas.

HMO has several benefits for health providers. It offers a constant flow of patients and are assured of payments for the services they have provided (Falkson & Srinivasan, 2023). Given that HMOs generally negotiate contracts with particular service providers, they warrant that there is a consistent flow of patients to those health service providers within their system and this can be beneficial for smaller health facilities as it helps them stabilize their revenues and scale down the burden of administration related to collections and billing. HMOS regularly underscores on wellness and preventative care and they encourage the healthcare providers within the system to

keep their patients healthy, which can lead to little costly intervention in the end. This approach can also improve the reputation of healthcare providers within the public, leading to improved patient loyalty and trust (Falkson & Srinivasan, 2023) .

HMOS has benefits for employees who are enrolled in the system such as lower out of pocket costs when compared to other insurances. HMOS typically needs small or no deductibles and copayments during doctor visits and drugs prescribed are generally affordable and their prices are fixed. This kind of predictability in healthcare can offer financial relief for workers, particularly those with low incomes and in tight budgets. Another advantage to employees is that HMO offer all-inclusive coverage with access to a wide variety of medical services including hospitalization, specialized consultation and preventative care. This all-inclusive coverage safeguards that workers have access to the care they require without worrying about high medical bills.

Medical professionals gain from HMO health plans via efficient administrative practices and reduced paperwork. Because HMO generally features standardized processes for claims handling and reimbursement, providers generally spend less time traversing sophisticated billing procedures and spend more time concentrating on patient care. Moreover, HMOs offer resources and support to healthcare providers to enhance overall patient satisfaction and outcomes. Resources and support offered includes access to electronic health records, progressive medical education opportunities and care coordination services. In addition, HMOS fosters collaboration and communication among providers and this helps enhance the quality and efficiency of healthcare delivery.

The drawbacks of HMOs for healthcare providers is the potential for scaled down autonomy and control over patient care choices because HMO may enforce restrictions on transfers to specialist or particular treatment options to control cost, and this can be frustrating to providers and cap their ability to offer individualized care. Additionally, reimbursement rates in HMO contracts may be lower when compared to fee for service schemes leading to financial strain especially for smaller healthcare facilities.

To the employees, HMO health plans regularly come with restrictions on out of scheme coverages. Workers may face regulated choices when it comes to choosing healthcare providers, particularly if they have fostered relationships with particular specialists or doctors outside their HMO schemes. This lack of flexibility can be a big problem for people who prioritize continuity of care and provider selection. In addition, workers enrolled in HMOs may face longer wait times for appointments to specialists or non-urgent treatments because of utilization management processes used by HMOs to control costs. These delays can be frustrating for patients mainly those with special medical conditions requiring apt interventions (Bardey & Rochet, 2009).

Medical professional's involvement in HMO schemes may lead to increased administrative obligations and regulatory compliance obligations. HMO regularly need providers to strictly adhere to the review processes and documentation standard, which are tedious and time consuming. Furthermore, HMOs may apply pressure on providers to give precedence to cost containment over patient results, which can lead to ethical dilemmas.

Point of service health plan

The point of service health plan offers a mixture to healthcare coverage by bringing together several elements of preferred provider organization and health maintenance organizations. POS health plans offer flexibility for patients to find care within and beyond a designated system of health providers with different levels of coverage and cost sharing plans.

One of the key advantages of the POS plan to healthcare providers is that it has the potential for rise in the number of patients and revenue. Dissimilar to the conventional HMOs, POs healthcare schemes permit patients to find care from out of network providers, although at a higher price. This kind of flexibility can be attractive to patients who regard choice and accessibility in their healthcare choices, henceforth increasing the patient base for the involved providers. In addition, POS plans generally offer a higher reimbursement rate for in scheme services in comparison to HMOS (Bardey & Rochet, 2010).

To the employees, POS health scheme provides a balance between affordability and flexibility in healthcare selections. POS schemes feature smaller out of pocket costs for in network services in comparison to traditional PPOs and this makes healthcare more affordable and accessible for workers (Lee & Lee, 2020). Additionally, POS offers coverage for out of the network services, although at higher prices. This lets employees access care from a wider pool of service providers such as specialists. Medical professionals gain from POS health schemes by increased patient referrals and chances for collaboration with other providers. POS schemes inspire patients to foster relationships with primary care physicians within their network. Additionally, POS plans cover fitness and wellness programs.

Regardless of the benefits of POS for healthcare providers, there are drawbacks such as the administrative burden linked with handling referrals and claims for in network and out of network services. Healthcare providers must steer the complicated billing procedures to ascertain compliance with guidelines and it can be tedious and time consuming. The reimbursement rates for out of network services under POS schemes are generally lower (Bardey & Rochet, 2010).

One of the disadvantages of POS health schemes to employees is that there is a potential for higher out of the pocket cost for out of the network services. Whereas POS schemes have coverage for out of the network care, workers may encounter higher deductions, yearly limits and coinsurance rates and this makes it expensive to find healthcare from providers outside the scheme's network. In addition, it is difficult to navigate the difficulty of POS plans such as cost sharing plans and restrictions and this can be confusing to workers. Medical professionals may face challenges while trying to coordinate care and manage patient’s expectations within the context of POS schemes (Lee & Lee, 2020). The double nature of POS schemes allow patients to find care within and outside the network and this may lead to confusions.

To conclude, HMO and POS health plans offer different benefits and drawbacks for providers, employees, and medical providers. HMOs offer cost-effective care with an emphasis on preventive services and coordinated care, although with limitations on provider choice and location limits. On the other hand, POS plans have higher flexibility in provider preference but may involve costly premiums and challenges in coverage plans.

References

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